Otavio Braga

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Education

Ph.D. in Economics, Duke University — 2021–27 (expected)
— Fields: Household Finance, Real Estate, Empirical Macroeconomics

M.Sc. in Economics, São Paulo School of Economics – FGV — 2018–20

B.A. in Economics, University of São Paulo — 2013–16

References

David Berger
Dept. of Economics, Duke
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Cosmin Ilut
Dept. of Economics, Duke
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Nuno Clara
Fuqua School of Business, Duke
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Job Market Paper

Inflation Beliefs and the Indexation of Household Debt
with João Pugliese (Stanford University) and Lucas Iten (Central Bank of Brazil)

Abstract: Economic theory dictates that inflation beliefs should shape households' financial decisions, but establishing this link empirically has been a central challenge for a large literature. Part of the difficulty is measurement, since the exact exposure of individual budgets to inflation is highly heterogeneous and unobservable. We study borrowers whose debt is indexed to inflation, a setting where part of this exposure is directly measurable: if the price index rises by x%, so does the monthly payment. In a survey experiment with Brazilian households holding long-term debt contracts, we separately elicit their inflation beliefs and the installments they expect to pay five years ahead. We then cross-randomize information on historical inflation with a treatment that shows each respondent how much her nominal installment would rise if her own inflation forecast came true. Across all income, education and demographic groups, borrowers systematically underestimate the future installment implied by their own inflation forecasts. Historical information shifts these forecasts, but not how much borrowers plan to save or whether they would pay a premium to opt out of indexation. These choices respond only when borrowers also see what their expectations mean for their monthly payment, and mostly to perceived inflation risk rather than to expected inflation. Still, borrowers switch to fixed payments far less often than a structural model calibrated to their own beliefs predicts. Accounting for their under-projection of installments narrows this gap, but leaves most of it unexplained.

Works in Progress

Reassessing Risk in Housing Markets: The Role of Selection
with Bomi Kang (Duke University)

Property Taxes and Residential Mobility: Evidence from Tax Reforms in São Paulo
with Bomi Kang (Duke University)

Misperceptions and Redistribution: Evidence from Brazilian Consorcios
with João Pugliese (Stanford University) and Lucas Iten (Central Bank of Brazil)

Fellowships and Awards

Merit-based Head TA Bonus, Duke University Economics Department	2023, 2025
Summer Research Fellowship, Duke University Graduate School	2022, 2023
Graduate Fellowship, CAPES (Brazilian Federal Agency for Graduate Education)	2019, 2020
Graduate Fellowship, Fundação Getulio Vargas	2018
Honorable Mention, Best Senior Thesis in Economics, University of São Paulo	2016

Teaching Experience

Duke University

TA, Advanced Microeconomic Theory (Undergraduate)	Fall 2026
Head TA, Introduction to Econometrics & Data Science (Undergraduate)	Spring 2025
Head TA, Econometrics & Data Science (Undergraduate)	Spring 2023
Head TA, Introduction to Econometrics (Graduate)	Fall 2022

São Paulo School of Economics – FGV

TA, Quantitative Macroeconomics (Graduate)	Fall 2019

Work Experience

Duke University 2024-25, 2026
Research Assistant for Cosmin Ilut

Columbia University / London School of Economics 2019–21
Research Assistant for François Gerard and Joana Naritomi

São Paulo School of Economics – FGV 2020
Research Assistant for Fernando Chague, Bruno Giovannetti, and Marcelo Fernandes

Analyst, Fiesp (Federation of Industries of the State of São Paulo) 2016–17

Programming

Matlab, Python, R, Stata

Languages

Portuguese (Native), English (Fluent), Spanish (Intermediate), French (Basic)